

COURSE TITLE	FINANCIAL AND GENERAL ACCOUNTING
TYPE OF EXAMINATION	CONTINUOUS ASSESSMENT – BME1
DURATION	3HRS

Instruction:

Answer Question Three(3) and Two other Questions
Questions carry 15 Marks Each

Question 1: Establishment the Balance Sheet

On 01/01/24, John and Sons Enterprise presented the following balance sheet information.

Element	Amount(FCFA)
Agricultural Land	300 000
Office Equipment	100 000
Stocks of Good A	150 000
Customer Peter	350 000
Afriland first Bank	75 000
Share Capital	35 000 000
Afriland Bank Loan	3 000 000
Supplier Zama	190 000
Industrial Buildings	5 000 000
Office Furniture	300 000
Automobile Equipment	300 000
Supplier Sixtus	400 000
Stocks of Raw Materials	120 000
Bicec Bank	4 000 000
Cash at hand	3 000 000
Customer Rose	200 000
Bank overdraft	150 000
Eco bank	3 000 000

Work required

- Establish the balance sheet as of 01-01-24
- Is this balance sheet an open balance sheet or a closing balance sheet?
- Interpret the results

Question 2: John and Sons Enterprise recorded the following operations in the same month.

- 03/01/2024: Purchases of goods by bank cheque from DUBILA 850,000 FCFA
- 05/01/2024: Sales of goods by cash to customer SUSAN worth 720,000 FCFA
- 04/01/2024: Received cash from Customer Susan worth 80,000 FCFA
- 07/01/2024: Customer Landry settled by bank cheque worth 250,000 FCFA
- 09/01/2018: Payment of electricity and water bills by bank cheque at 125000 FCFA and 68000FCFA respectively.

Question 3: Balance Sheets, Journal and Trial Balance

LaRose Plc specialized in the purchase and sales of a highly consumable product good and has provided the following information on the 1st March 2022.

Elements of the opening balance sheet in FCFA

Elements	Amounts(CFA)
Agricultural Land	4,800,000
Industrial Building	2,200,000
Share capital	10,000,000
Customer LAMIN	4,000,000
Suppliers Omega	800,000
Stocks of Goods	350,000
Cash	10,000,000
Bank Overdraft	1,000,000
Bank Loan	400,000
Bicec Bank	500,000

During the month of March 2022 the enterprise carried out the following transactions

03/03/2022: Purchases of goods from Supplier Omega 260,000FCFA by Bank cheque(Bicec Bank)

05/03/2022: Sales of goods to Customer LAMIN worth 325000 FCF

07/03/2022: Cash sales of goods worth 400000 FCFA to customer ATATU by Cash

08/03/2022: Purchases of goods using bank cheques(Bicec Bank) worth 20,000FCFA

09/03/2022: Cash payment of electricity and water bills at 15000 FCFA and 18000FCFA respectively.

10/03/2022: Payment of salaries by cash worth 500000 FCFA

Work required:

- Establish the opening balance sheet of LaRose (8 Marks)
- Proceed to the journal entries and ignore VAT on sales and purchases (7 Marks)
- Establish the ledger account for the customer, stocks and bank (5 Marks)
- Establish the six column trial balance (5 Marks)
- Proceed to the closing balance sheet (5 Marks)

Question 4:

Invoices and invoice recording

THOMAS Plc presented you the following information for recording.

On the 5th of March 2017, the enterprise made the following transactions.

- Purchase of consumable goods worth 1200000 FRS
- Purchase of 5 bags of rice at 25000frs a bag
- Purchase of 24 packets of reusable papers at 24000frs a dozen

On all these purchases, a trade discount of 5%, rebate of 2% and cash discount of 7% was awarded. Transport invoiced amounted to 54,000 FRS as well as containers of 40,000frs.

Four days after, Thomas Plc returned goods worth 350,000 FRS, transport of 15000 FRS and containers of 4500 FRS

Work required

- a) Establish THOMAS Plc invoices précisant all additions and deductions
- b) Comment on the gross amount payable and on the net amount payable

End